BAP No. MW 23-003

UNITED STATES BANKRUPTCY APPELLATE PANEL
FOR THE FIRST CIRCUIT

Bankruptcy Case No. 21-40248-EDK

In re SCOTT H. BLUMSACK, d/b/a Mass Athletics, LLC,
Debtor.

SCOTT H. BLUMSACK,
Appellant,

v.

WILLIAM K. HARRINGTON, United States Trustee,
Appellee.

On Appeal from the United States Bankruptcy Court for the District of Massachusetts

BRIEF FOR APPELLEE, WILLIAM K. HARRINGTON, UNITED STATES TRUSTEE

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STATEMENT REGARDING ORAL ARGUMENT

The United States Trustee submits that oral argument is unnecessary and that this Court can decide the issues presented by this appeal based on the briefs. *See* Fed. R. Bankr. P. 8019(b)(3); 1st Cir. BAP L.R. 8019-1(a). Nonetheless, the United States Trustee stands ready to participate in oral argument if it would assist the Court.

STATEMENT OF APPELLATE JURISDICTION

This Court has jurisdiction to hear this appeal of the bankruptcy court's final order under 28 U.S.C. § 158(b) and (c)(1). The bankruptcy court had jurisdiction over the debtor's chapter 13 bankruptcy case under 28 U.S.C. §§ 157(a), 157(b), and 1334(a). The bankruptcy court's final order dismissing the chapter 13 case under 11 U.S.C. § 1307, App. at 271,[1] was entered on January 17, 2023. *See, e.g.*, *Sharma v. Pappalardo (In re Sharma)*, 647 B.R. 795, 804 (B.A.P. 1st Cir. 2023) ("An order dismissing a chapter 13 case is a final, appealable order.") (cleaned up). The bankruptcy court's interlocutory order denying confirmation of the chapter 13 plan merged with the final order. The debtor timely filed a notice of appeal under 28 U.S.C. § 158(c)(2) and Federal Rule of Bankruptcy Procedure 8002 on January 30, 2023. App. at 272-274.

STATEMENT OF THE ISSUES

I. Did the bankruptcy court properly deny confirmation of a chapter 13 plan under 11 U.S.C. § 1325(a)(7) and properly exercise its discretion in dismissing the case under 11 U.S.C. § 1307(c) because the petition was not filed in good faith where the debtor planned to fund his chapter 13 plan solely from income received for violating federal law?

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[1] Citations to "App. at ___" are to the Record Appendix of Appellant, Scott H. Blumsack.

II. Did the bankruptcy court properly deny confirmation of a chapter 13 plan under 11 U.S.C. § 1325(a)(3) because the plan was not proposed in good faith where the debtor's plan would be funded solely by income from violating federal law?

III. Did the bankruptcy court properly exercise its discretion in dismissing the debtor's bankruptcy petition under 11 U.S.C. § 1307(c)(5) because confirmation of a plan and a request for additional time to propose a plan were denied?

STANDARD OF REVIEW

The bankruptcy court's conclusions of law are reviewed de novo and its findings of fact are reviewed for clear error. *Palmacci v. Umpierrez*, 121 F.3d 781, 785 (1st Cir. 1997).

The bankruptcy court's order dismissing the case is reviewed for abuse of discretion. *See Howard v. Lexington Invs., Inc.*, 284 F.3d 320, 322 (1st Cir. 2002); *In re Eldorado Canyon Props., LLC*, 505 B.R. 601, 603 (B.A.P. 1st Cir. 2014). "A bankruptcy court abuses its discretion if it ignores a material factor deserving of significant weight, relies upon an improper factor or makes a serious mistake in weighing proper factors." *Howard*, 284 F.3d at 323.

The bankruptcy court's findings that the petition was not filed in good faith and that the plan was not proposed in good faith are reviewed for clear error. *See Sullivan v. Solimini (In re Sullivan)*, 326 B.R. 204, 210 (B.A.P. 1st Cir. 2005); *Brown v. Gore (In re Brown)*, 742 F.3d 1309, 1315 (11th Cir. 2014). "[A factual] finding is clearly erroneous when although there is evidence to support it, the reviewing court on the entire

evidence is left with the definite and firm conviction that a mistake has been committed." *Sullivan*, 326 B.R. at 210.

STATEMENT OF THE CASE

I. Statutory Framework

A. Chapter 13 cases

Chapter 13 of the Bankruptcy Code permits an individual debtor with regular income to obtain a discharge of his debts if he pays creditors in accordance with a court-confirmed plan. *See* 11 U.S.C. §§ 1301-1330. A private trustee is appointed by the United States Trustee to oversee the chapter 13 debtor. *See id.* § 1302. The chapter 13 trustee receives periodic payments from the debtor, which the chapter 13 trustee then distributes to the debtor's creditors in satisfaction of the repayment plan. *See id.* § 1326. The debtor's "earnings from services performed . . . after the commencement of the case" are part of the property of the bankruptcy estate. *See id.* § 1306(a)(2). After making all required payments under the plan, the debtor generally receives a discharge of his debts. *See id.* § 1328(a).

A debtor seeking chapter 13 relief must propose a repayment plan, which must (among other things) set out how the debtor's disposable income will be used to repay creditors. *See id.* §§ 1321 & 1322(a). The bankruptcy court "shall confirm a plan if" the requirements of 11 U.S.C. § 1325(a) are satisfied. For purposes of this appeal, two of those requirements are relevant: "the plan has been proposed in good faith and not by

any means forbidden by law," *id.* § 1325(a)(3), and "the action of the debtor in filing the [bankruptcy] petition was in good faith," *id.* § 1325(a)(7).

Additionally, the Bankruptcy Code provides that "on request of a party in interest or the United States trustee and after notice and a hearing, the court may convert a case under this chapter to a case under chapter 7 of this title, or may dismiss a case under this chapter, whichever is in the best interests of creditors and the estate, for cause." *Id.* § 1307(c). "Cause" is not defined in the Bankruptcy Code, but "it is well established that lack of good faith (or bad faith) is 'cause' for dismissal or conversion of a Chapter 13 case under § 1307(c)." *Sullivan*, 326 B.R. at 211. Additionally, section 1307(c) "includ[es]" a non-exhaustive list of examples of "cause." *See* 11 U.S.C. § 102(3) ("In this title . . . 'includes' and 'including' are not limiting."). For purposes of this appeal, one such example of "cause" is relevant: "denial of confirmation of a plan under section 1325 of this title and denial of a request made for additional time for filing another plan or a modification of a plan." *Id.* § 1307(c)(5).

B. Treatment of marijuana under federal law

Marijuana or cannabis is a Schedule I controlled substance under the federal Controlled Substances Act. *See* 21 C.F.R. § 1308.11(d)(23) & (58). The Controlled Substances Act prohibits many actions related to the manufacture and sale of marijuana, such as:

- "[I]t shall be unlawful for any person knowingly or intentionally to manufacture, distribute, or dispense, or possess with intent to manufacture, distribute, or dispense, a controlled substance." 21 U.S.C. § 841(a)(1).

- "It shall be unlawful for any person knowingly or intentionally to possess a controlled substance unless such substance was obtained directly, or pursuant to a valid prescription or order, from a practitioner." *Id.* § 844(a).

So, it is illegal under federal law to manufacture or sell marijuana. It also is illegal to possess marijuana with intent to sell it or without a valid prescription. It is illegal under federal law to possess marijuana manufacturing equipment knowing it will be used to manufacture marijuana. And it is illegal under federal law to manage a shop knowing and intending that it will be used to manufacture, store, and sell marijuana. Anyone who aids, abets, or conspires with someone to do any these things also has violated the Controlled Substances Act. *See* 18 U.S.C. § 2(a); 21 U.S.C. § 846.

C. The role of the United States Trustee

The United States Trustee is an official of the Department of Justice appointed by the Attorney General to supervise the administration of bankruptcy cases. *See generally* 28 U.S.C. §§ 581-589. United States Trustees are "watchdog[s]" "responsible for protecting the public interest and ensuring that bankruptcy cases are conducted according to law." *Morgenstern v. Revco D.S., Inc. (In re Revco D.S., Inc.)*, 898 F.2d 498, 500 (6th Cir. 1990). To this end, Congress has provided that the United States Trustee "may raise and may appear and be heard on any issue in any [bankruptcy] case or proceeding." 11 U.S.C. § 307.

II. Statement of the Facts

A. Mr. Blumsack filed and pursued a chapter 13 petition while his sole income was from being paid to sell marijuana.

Scott Blumsack filed a chapter 13 petition on April 1, 2021. App. at 25-35. On his Schedule I, Mr. Blumsack listed his employment as "Sales" at "Green Star Herbal." App. at 59. Green Star Herbal is a retail dispensary of marijuana, and Mr. Blumsack was a part-time "budtender" there. App. at 136 ¶¶ d(3)-(4).

A few months later, in July 2021, Mr. Blumsack started a part-time job with TYCA Green, Inc. d/b/a Society Cannabis Co. App. at 136 at ¶ d(8). TYCA Green is a retailer, wholesaler, and producer of marijuana products. App. at 136 ¶ d(9). TYCA Green procures raw marijuana from others to manufacture its own products in house, including vaporizer cartridges, edibles, and pre-rolled smokable products. App. at 136 ¶ d(10).

In the beginning of September 2021, Mr. Blumsack became a full-time employee with TYCA Green, and by December 2021, he became the general manager of its facility in Clinton, Massachusetts. App. at 136-137 ¶¶ d(12)-(13). Far from a "mere employee," he was one of the three most senior figures in the business and supervised all 16 other employees. App. at 137 ¶ d(15)-(16). Mr. Blumsack is involved in all TYCA Green's business sectors, including retail, wholesale, production, marketing, and human resources. App. at 137 ¶ d(14). Mr. Blumsack set up TYCA Green's retail operation and continued to manage all aspects of the retail operation. App. at 137 ¶ d(17). He was

licensed to sell marijuana products under Massachusetts law and often covered retail shifts for the business. App. at 137 ¶ d(18).

TYCA Green paid Mr. Blumsack $75,000 per year for managing its marijuana business. App. at 137 ¶ d(22). He had no other income. His spouse, who has not sought bankruptcy protection, is an employee of the Department of Defense and earns more than $100,000 per year. App. at 163:14-164:3. In late 2020, his spouse transferred over $70,000 from her retirement account into a joint bank account. App. at 40-41; App. at 165:2-166:3. In March 2022, Mr. Blumsack did not know how much of that money was still available for them to use. App. at 166:8-18. Mr. Blumsack and his spouse commingled their funds in their bank accounts, which they used to pay their living expenses. App. at 168:10-14; App. at 169:16-20.

SUMMARY OF THE ARGUMENT

I. When Mr. Blumsack filed his bankruptcy petition, he derived all his income from selling marijuana in violation of federal law. His bankruptcy filing contemplated using income from that illegal practice to fund his plan, which would have required the chapter 13 trustee to receive, hold, and transfer moneys from criminal violations. The bankruptcy court did not clearly err by concluding this constituted bad faith in filing the petition and, accordingly, properly denied confirmation of the proposed plan under section 1325(a)(7) and properly exercised its discretion in dismissing the case under section 1307(c). Mr. Blumsack mistakenly argues his conduct is not so bad and that

other bad actors receive bankruptcy discharges, but the court followed the Bankruptcy Code and relevant precedents in this case. Moreover, contrary to Mr. Blumsack's claims, the court was not required to address specific factors, because under First Circuit precedent bad faith is determined on a case-by-case basis.

II. Mr. Blumsack's proposed plan involved using income from his job selling marijuana to fund his plan. The bankruptcy court did not clearly err in concluding this plan was not proposed in good faith, and accordingly properly denied confirmation of the plan under section 1325(a)(3). The First Circuit does not require that the bankruptcy court consider any specific set of factors in finding bad faith under section 1325(a)(3). And contrary to Mr. Blumsack's citation to decisions involving other language, section 1325(a)(3)'s good-faith requirement is not limited to the means by which a plan is proposed, but rather refers to the proposal of the plan as a whole.

III. The bankruptcy court properly exercised its discretion in denying additional time to propose another plan and therefore in dismissing the case under section 1307(c)(5) because Mr. Blumsack's proposal for his spouse's assets and paycheck to fund his plan still permitted him to profit from illegal marijuana sales while receiving the Bankruptcy Code's protections. His arguments to the contrary ignore (a) that he and his spouse commingled their assets, preventing them from being considered unrelated to marijuana sales, and (b) that money is fungible, such that whatever his spouse contributes to the plan frees up an equal amount of his own income from marijuana

sales to support their shared expenses.[2]

ARGUMENT

I. The Bankruptcy Court's Finding of Bad Faith in Filing the Petition Is Not Clearly Erroneous; the Court Therefore Properly Denied Plan Confirmation Under Section 1325(a)(7) and Properly Exercised Its Discretion in Dismissing the Case Under Section 1307(c).

It is accepted that a lack of good faith in filing a bankruptcy petition is cause both to deny confirmation of the debtor's chapter 13 plan *and* to dismiss the petition outright.[3] *See* 11 U.S.C. § 1325(a)(7); *Sullivan*, 326 B.R. at 211. And the bankruptcy court's finding of bad faith is reviewed for clear error. *Id.* at 210. Here, not only is there some evidence to support the bankruptcy court's bad-faith finding, but the evidence also overwhelmingly supports it.

This Court has adopted a totality of the circumstances test for determining whether a chapter 13 petition is filed in good faith. *See id.* at 211. It requires "a multi-faceted analysis that is applied on a case-by-case basis." *Id.* "The hallmark of the totality of the circumstances test is that the factors to be considered may vary in each case." *Id.* at 212. The inquiry is an objective one, not subjective, meaning Mr. Blumsack himself may have had good intentions in filing his petition and yet it was still a bad-faith filing. *Id.*

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[2] The United States Trustee did not move to dismiss under section 105(a) and, accordingly, does not believe it is necessary to affirm the bankruptcy court's order.

[3] Issue I is an independent and sufficient basis to affirm the order below.

The bankruptcy court, having reviewed the parties' stipulated facts and Mr. Blumsack's testimony at a hearing, found that Mr. Blumsack filed his petition in bad faith because he filed it "while engaging in activities in the course of his employment that violate federal criminal laws." App. at 265.

II. The Bankruptcy Court Properly Denied Plan Confirmation Under Section 1325(a)(3) Because It Was Not Proposed in Good Faith.

"[T]he debtor must file the Chapter 13 plan in good faith," and it is the debtor's burden to show it was proposed in good faith. *Sullivan*, 326 B.R. at 211. There is no set of required factors for the court to consider. *See Puffer*, 674 F.3d at 82. In *Puffer*, the First Circuit clarified that the question whether a plan is proposed in good faith is the same as whether the plan was presented to the court or filed in good faith. *See id.* at 83 ("In the case at hand, the bankruptcy court did not consider the totality of the circumstances when measuring whether the debtor's Chapter 13 plan was presented in good faith. Instead, it mistakenly concluded that fee-only Chapter 13 plans are per se filed in bad faith.").

III. The Bankruptcy Court Properly Exercised Its Discretion in Dismissing the Case Under Section 1307(c)(5) Because It Reasonably Denied Additional Time To Propose a Plan.

Because the court properly denied confirmation of the proposed plan under both subsections 1325(a)(3), cause to dismiss the entire case independently existed if the

court properly denied Mr. Blumsack additional time to propose another plan.[4] *See* 11 U.S.C. § 1307(c)(5). Mr. Blumsack wanted additional time to propose a plan that he claimed would not be based on income from his work selling marijuana. App. at 245-50. However, the court reasonably denied Mr. Blumsack additional time to propose a new plan because the court found that the plan he intended to propose "would be futile." App. at 267.

In sum, it was not an abuse of discretion for the court to deny additional time to propose a plan that continued to allow Mr. Blumsack to profit from violating federal law while receiving the Bankruptcy Code's protections, and accordingly it was not an abuse of discretion to dismiss the case under section 1307(c)(5).

CONCLUSION

For these reasons, the United States Trustee respectfully asks this Court to affirm the order entered below.

[4]Issues II and III together are a sufficient basis to affirm the order below.

Respectfully submitted,
June 26, 2023

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CERTIFICATE OF COMPLIANCE

This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(A) because it contains 2594 words, excluding the parts of the brief exempted under Fed. R. Bankr. P. 8015(g).

This brief complies with the typeface and type-style requirements of Fed. R. Bankr. P. 8015(a)(5) and (6) because it has been prepared in a proportionally spaced typeface, EB Garamond 14-point, using the vendored font.

s/ FREDERICK G. HALL
FREDERICK GASTON HALL
Dated: June 26, 2023

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Appellant,

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WILLIAM K. HARRINGTON, United States Trustee,
Appellee.

STATEMENT REGARDING RELATED CASES
1st Cir. BAP L.R. 8014-1(a)(2)

☐ The undersigned certifies that the following are known related cases and appeals:

☒ The undersigned certifies that the undersigned knows of no related cases or appeals as that term is defined in 1st Cir. BAP L.R. 8014-1(a)(2)(A).

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